

Institutions and Culture: The Five Residency Readings

Detailed summaries and what each one changes for my project

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Five papers, read in full. The order below is by usefulness to me, not by the reading list. Page and figure references are to the published articles.

The through line

Most international business research treats institutions and culture as a stable backdrop against which firms act. **All five of these papers deny that**, in five different ways. Fainshmidt says there are seven kinds of institutional system, not two. Cuervo-Cazurra says institutions swing back and forth rather than progressing. House and colleagues say culture is nine-dimensional rather than one thing. Deephouse and colleagues show the same firm earns a different reputation depending where it sits. Samiee and colleagues report that after sixty years the field still cannot agree what country of origin actually does.

Read that way, the session is not about institutions. It is about what happens to a comparative claim when the thing you were holding constant turns out to vary.

1. Deephouse, Newburry & Soleimani (2016)

The effects of institutional development and national culture on cross-national differences in corporate reputation. *Journal of World Business*, 51(4), 463-473.

Read this one first. Newburry is the second author.

The gap

Corporate reputation had been studied for twenty-five years, almost entirely within single countries and almost entirely through signaling theory. Nobody had developed or tested a theoretical reason for why reputation should differ across countries at all.

Design

401 corporations across 25 countries, with reputation measured in 2007, 2009 and 2011, and independent variables lagged to 2005, 2007 and 2009 so that respondents could plausibly have known them. Institutional development is measured by the Global Competitiveness Index. Culture uses four Hofstede dimensions; long-term orientation is deliberately excluded because it covers a third of the countries and would have cut the sample.

Findings

Reputation is **negatively** related to institutional development, significant at $p < 0.001$. It is **positively** related to power distance, and **negatively** related to masculinity. Uncertainty avoidance had a positive and significant effect.

Why the negative result is the interesting one

Their reasoning: in less economically developed countries the corporate sector's contribution to people's livelihoods is visible and recent, and large corporations and business groups fill institutional voids, providing infrastructure that benefits many stakeholders. So people hold them in greater esteem. In developed economies, expectations of corporations are higher and harder to meet. The comparison is not between firms but between large corporations as a societal sector and other sectors within the same country.

They ran a sensitivity check that is worth noting as method: they re-ran the model excluding the industry with the highest average reputation and again excluding the industry closest to the sample average. Results held both times.

What I take from it

The headline contribution is that **institutional theory should complement signaling theory** in cross-national reputation work. The transferable move is smaller and more useful to me: they argue that in a cross-national study the relevant comparison group is not the same in every country. That is precisely the problem in my own feasibility argument, where a panel's coverage of a specialist population is being compared across frames that are not equivalent.

2. Fainshmidt, Judge, Aguilera & Smith (2018)

Varieties of institutional systems: A contextual taxonomy of understudied countries. *Journal of World Business*, 53(3), 307-322.

Fainshmidt is at FIU. This is the paper that changes my H2.

The gap

The two dominant frameworks are Varieties of Capitalism, which sorts advanced economies into liberal and coordinated market economies, and National Business Systems. Between them they leave most of Africa, the Middle East, Eastern Europe, Latin America and Asia unclassified.

Design

Qualitative data solicited from country experts to build institutional profiles of **68 economies** across **13 institutional elements**, organised under five dimensions: the state, financial markets, human capital, social capital, and corporate governance. Profiles were then submitted to a two-step cluster analysis.

The seven types

State-Led · Fragmented with a Fragile State · Family-Led · Centralized Tribe · Emergent LME · Collaborative Agglomerations · Hierarchically Coordinated. They label the taxonomy **Varieties of Institutional Systems**.

The state is coded on more than presence or absence. Each type carries a state character: **predatory, developmental, welfare, or regulatory**, alongside separate measures of direct dominance and indirect intervention. Countries can and do exhibit more than one.

What I take from it, and it is the most useful thing in the set

My GEB 7365 hypothesis H2 says a commercial research panel should be home-region bound, because its entire product is a downstream asset and downstream advantages are location-bound. I have been operationalising region on the triad classification Rugman and Verbeke use.

Fainshmidt suggests the triad may be the wrong unit. If what actually determines whether a panel can recruit a specialist professional population is the configuration of human capital institutions, social capital and the character of the state, then two countries in the same triad region can differ more than two countries across regions. Testing H2 against seven institutional system types rather than three geographic regions is a sharper design, and it is defensible rather than convenient because the taxonomy already exists and was built for exactly the economies a panel is least likely to cover.

3. Cuervo-Cazurra, Gaur & Singh (2019)

Pro-market institutions and global strategy: The pendulum of pro-market reforms and reversals. *Journal of International Business Studies*, 50(4), 598-632.

The argument

A review of how pro-market institutions affect firms' global strategy. Their organising idea is that the ideological tension over whether the government or the market should drive economic development produces a **pendulum**: pro-market reforms, and then reversals. Institutional change is not a ratchet that only tightens in one direction, which is how much of the literature has implicitly treated it.

The four gaps they name

- The concept of pro-market institutions itself: the variety of institutional dimensions, how they are measured, and the influence of informal institutions on firm strategy.
- What drives institutional change, especially firms' own influence on it and the co-evolution of firm strategies with institutions.
- How changes in reform interact with integration, diversification and internationalization strategies, the causality chains involved, and the global reconfiguration of activities.
- Non-traditional moderators that alter the impact of pro-market institutional change.

What I take from it

The reversal point has a direct methodological consequence that they do not draw. If institutions swing, then a cross-national dataset assembled over several years is not measuring a stable context; it is measuring several. Harzing's response rates are from one period. Treating them as a country characteristic rather than a period characteristic is the level-of-analysis error my own H4 exists to test.

4. House, Javidan, Hanges & Dorfman (2002)

Understanding cultures and implicit leadership theories across the globe: an introduction to project GLOBE. *Journal of World Business*, 37(1), 3-10.

Scale

61 nations. Thousands of middle managers surveyed, in three industries chosen for comparability: food processing, finance, and telecommunications.

Nine cultural dimensions

Performance orientation · future orientation · assertiveness · power distance · humane orientation · institutional collectivism · in-group collectivism · uncertainty avoidance · gender egalitarianism.

Six leadership dimensions, and the split that matters

They identify six global leader behaviour dimensions, empirically derived from a large pool of items rather than from a priori scales, and report that respondents in every culture could complete them. The distribution of endorsement is the finding: **two are universally seen as contributing to effective leadership, one is nearly universally endorsed, one is nearly universally seen as an impediment, and the remaining two vary by culture.**

The construct underneath is the culturally endorsed implicit leadership theory, or CLT. Items ask whether an attribute impedes or facilitates outstanding leadership on a seven-point scale.

The theoretical base

An integration of implicit leadership theory, Hofstede's value and belief theory of culture, implicit motivation theory, and structural contingency theory. The central proposition is that the attributes distinguishing a culture predict the organizational practices and the leader attributes most frequently enacted, acceptable and effective in that culture.

What I take from it

Mostly a caution. Four of six leadership dimensions are near-universal, which means culture explains less of leadership than the framing suggests. A nine-dimensional instrument that returns mostly universals is a useful reminder that measuring more dimensions is not the same as finding more variation.

5. Samiee, Leonidou, Katsikeas & Aykol (2024)

Research on country-of-origin perceptions: review, critical assessment, and the path forward. *Journal of International Business Studies*, 55(3), 285-302.

Scope

417 journal articles reporting 551 studies, published between 1962 and 2022, with the substantive contributions of the 50 most influential publications summarised. Business-to-consumer country-of-origin literature only.

The two problems they name

First, the area carries persistent **tensions and contradictions**. Second, it over-relies on relatively narrow theories that can neither explain the disparities nor capture the range of considerations in what they call the country-of-origin ecosystem.

The unusual move

They ran **two surveys**, one of academic researchers and one of US exporters and importers, explicitly comparing what country of origin is taken to do in research against what practitioners believe it does. Reviewing a literature against the practitioners it claims to describe is uncommon and worth borrowing.

The prescription

They propose **paradox theory** as a lens capable of holding competing aspects of the ecosystem together rather than resolving them, and **multilevel modelling** to connect studies to marketing strategy and performance outcomes.

What I take from it

This is the same diagnosis Contractor, Kundu and Hsu made of the multinationality and performance literature, and the same one Lopez, Kundu and Ciravegna made of born globals: sixty years of work, contradictory findings, and a measurement problem underneath. The recurring shape across this course is that contradictory results usually indicate a construct doing work it cannot support, not a phenomenon that is genuinely inconsistent.

What changes in my project

One substantive change and two smaller ones.

Substantive. Test H2 against Fainshmidt's seven institutional system types as well as the triad. If panel coverage tracks institutional configuration rather than geography, that is a better finding than the one I set out to get, and the taxonomy needed to test it already exists.

Smaller. Cuervo-Cazurra's pendulum means response rates should be dated as period observations, not country characteristics, which strengthens the caveat already in my limitations. And Deephouse's argument that the relevant comparison group differs by country is the cleanest statement I have found of why a single cross-national average conceals more than it reports, which is the same claim I make about overall response rates.

References

- Cuervo-Cazurra, A., Gaur, A., & Singh, D. (2019). Pro-market institutions and global strategy: The pendulum of pro-market reforms and reversals. *Journal of International Business Studies*, 50(4), 598-632.
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Disclosure of Artificial Intelligence Use

Generative artificial intelligence (Claude, Anthropic) was used to extract and organise the summaries above from the five articles and to format this document. The selection of what mattered, the connections drawn to my own project, and the judgement about what changes in my design are my own. No confidential, identifiable, or restricted data was provided to any artificial intelligence system.